FULL TEXT OF MEASURE N

ORDINANCE NO. 2026-01

Rolling Hills Community Services District

An Ordinance of the Rolling Hills Community Services District Enacting A Special Parcel Tax to Fund District Services in Rolling Hills Community Services District Zone No. 1 Subject To The Approval Of The Voters

WHEREAS, the Rolling Hills Community Services District ("District") is authorized pursuant to Article XIII C of the California Constitution and California Government Code sections 61121, 61141, and 50077 to levy a special tax, subject to approval by two-thirds (2/3) of the qualified electors voting on the measure; and

WHEREAS, the District is authorized by Government Code sections 61140 through 61144 to levy a special tax within specified areas of the District by forming a new zone to fund any service, any level of service, or any facility that the District may exercise in the District as a whole; and

WHEREAS, the Board of Directors ("Board") finds that additional, stable funding is necessary to maintain and improve District infrastructure and services, including but not limited to fire mitigation, roads, drainage, lighting, landscaping, parks, and related facilities and safety improvements; and

WHEREAS, the District currently levies a District Improvement Assessment of $200 annually on all property within the District, and the Board intends that such assessment shall remain in full force and effect and unchanged, and that no action is being taken by this Ordinance to modify, increase, replace, or repeal such assessment; and

WHEREAS, the current level of District Improvement Assessment has not changed since 1987, and the Board has determined that the amount is not sufficient to provide the stable funding necessary to maintain and provide District infrastructure and services, and that an additional funding source is needed; and

WHEREAS, the Sierramonte subdivision is a gated community that maintains its own internal infrastructure through a homeowners' association and funds the maintenance and improvement of private infrastructure within the neighborhood through dues paid to the homeowners' association, reducing the District's need for additional funding. The District's funding needs are therefore limited to the portions of the District that exclude the Sierramonte subdivision; and

WHEREAS, the Board adopted Resolution No. 26-04 forming Rolling Hills Community Services District Zone No. 1, which includes all territory within the jurisdictional boundaries of the District, excluding the Sierramonte subdivision, as described in Resolution No. 26-01; and

WHEREAS, the Board has submitted to the voters of the District, at the November 3, 2026, election, a measure to authorize a special tax to fund District services in Zone 1 and to increase the District's appropriations limit by the amount of anticipated revenue from the proposed special tax. The formation of Zone 1 and the special tax will be approved if two-thirds of voters voting on the measure vote in favor of it.

NOW THEREFORE BE IT ORDAINED by the Board of Directors of the Rolling Hills Community Services District as follows:

SECTION 1. AUTHORITY

The District enacts this ordinance in accordance with the authority granted to Community Services Districts pursuant to California Government Code sections 61121, 61141, and 50077.

SECTION 2. RECITALS

All Recitals contained in this Ordinance are true and correct and are incorporated herein by reference.

SECTION 3. DEFINITIONS

For the purposes of this Ordinance, the following terms shall have the meanings provided below:

A. "Administrator" means an official of the District, or designee thereof, responsible for carrying out the provisions of this Ordinance.

B. "Assessor's Parcel Number" means the Parcel and Parcel Number as assigned by the Rolling Hills Community Service District Assessor on the equalized tax roll.

C. "Board" means the Board of Directors of the District.

D. Consumer Price Index" or "CPI" means the Consumer Price Index for All Urban Consumers (CPI-U) for Sacramento-Roseville-Folsom as published by the U.S. Department of Labor, Bureau of Labor Statistics. If the Consumer Price Index is discontinued or revised, such other government index or computation with which it is replaced shall be used to obtain substantially the same result as would be obtained if the Consumer Price Index had not been discontinued or revised.

E. "County" means the County of El Dorado.

F. "County Assessor" or "Assessor" means the County Assessor of County of El Dorado.

G. "County Assessor's parcel" means a lot or Parcel with an assigned Assessor's Parcel Number used by the County Assessor in preparing the tax roll.

H. "District" means the Rolling Hills Community Service District.

I. "Fiscal Year" means the period starting July 1 and ending the following June 30.

J. "Parcel" means any County Assessor's parcel in Zone 1 based on the equalized tax roll of the County as of January 1 of each Fiscal Year.

K. "Rolling Hills Community Services District Zone 1" or "Zone 1" means the zone of the District formed by Board Resolution No. 26-04.

L. "Special tax" means the special parcel tax authorized and imposed by this Ordinance.

M. "Taxable parcel" means any Parcel that is not a Tax-Exempt Parcel.

N. "Tax exempt parcel" means any parcel that is exempt from the special tax, as provided for in this Ordinance.

SECTION 4. TAX IMPOSED

A. An annual special tax at the rates set forth in Section 5 is hereby imposed on every taxable parcel within the District.

B. The special tax constitutes a debt owed by the owner of each parcel to the District.

C. The special tax shall be levied and collected on each parcel within the District for which the owner receives a separate ad valorem property tax bill.

D. Tax exempt parcels are exempt from any liability for the special tax.

SECTION 5. TAX RATES

A. The rate of the special tax for each type of taxable parcel shall be Two Hundred and Fifty Dollars ($250.00) annually.

B. After the first year that the special tax is levied, to keep the tax on each taxable parcel in constant first year dollars for each year, the special tax rate may be adjusted annually by the change in the Consumer Price Index from the preceding year, using the most recent month when the calculation is performed, not to exceed three percent (3%).

C. The assessment roll data of the El Dorado County Tax Assessor as of January 1 of each year and District records shall be used to identify taxable parcels.

SECTION 6. EXEMPTIONS

A parcel shall be exempt from the special tax if it is exempt from the special tax under other applicable law.

SECTION 7. COLLECTION OF TAX

The special tax may be collected in the same manner as ordinary ad valorem taxes are collected and, if collected in that manner, shall have the same lien priority and be subject to the same penalties and the same procedure and sale in cases of delinquency as provided for ad valorem taxes collected by the County of El Dorado. The District Board of Directors may provide for other alternative methods of collection of the special tax by resolution.

SECTION 8. COLLECTION OF UNPAID TAX

The amount of the special tax, any penalty, and any interest imposed under the provisions of this Ordinance shall be deemed a debt owed to the District. Any person owing money to the District under the provisions of this Ordinance shall be personally liable to an action brought in the name of the District, at its option, for the recovery for such amount.

SECTION 9. USE OF TAX REVENUE

A. Revenue from the special tax, including penalties and interest thereon, shall be used to maintain and improve existing District facilities and services provided within Zone 1, including but not limited to fire mitigation, roads, drainage, lighting, landscaping, and parks.

B. At the District Board of Directors' discretion, revenue from the special tax, including penalties and interest thereon, may also be used to pay for the costs of holding an election to seek voter approval of this Ordinance, for the costs of administering the special tax, and for the costs of defending the special tax and this Ordinance, including attorneys' fees and related costs.

SECTION 10. ACCOUNTABILITY

In accordance with the requirements of California Government Code Sections 50075.1 and 50075.3, the following accountability measures, among others, shall apply to the special tax:

A. A separate, special account, referred to as the Zone 1 Special Tax Fund, shall be created, into which the proceeds of the special tax, including penalties and interest earned on such proceeds, must be deposited.

B. The specific purposes of the special tax are for the District facilities and services in Zone 1 and for related election, administration, and legal fees as set forth in Section 7. The proceeds of the special tax shall be applied only to those specific purposes.

C. The Administrator shall annually prepare and submit to the District Board of Directors a report regarding the special tax funds collected and expended, as well as any other information required by Government Code sections 50075.1 and 50075.3.

SECTION 11. INTERPRETATION, APPLICATION, AND APPEAL OF SPECIAL TAX FORMULA AND PROCEDURES

A. Any taxpayer who feels the amount of the special tax assigned to a parcel is in error may file a notice with the Administrator appealing the levy of the special tax. The Administrator then will promptly review the appeal and, if necessary, meet with the applicant. If the Administrator verifies that the special tax levied on the applicant's parcel should be modified or changed, the special tax levy will be corrected and, if applicable in any case, a credit or refund will be granted. The appeal must be filed not later than one year after having paid the special tax that is disputed.

B. Interpretations may be made by the District, by Resolution or Ordinance of the Board, for purposes of clarifying any vagueness or ambiguity as it relates to the special tax rate, the classification of properties, or any definition applicable to the special tax.

C. Without Board approval, the Administrator may make minor, non-substantive administrative and technical interpretations of the provisions of this Ordinance for purposes of administrative efficiency or convenience or to comply with new applicable federal, state, or local law, so long as any interpretation does not materially affect the rate and manner of collection of the special tax.

SECTION 12. AMENDMENTS

This Ordinance may only be amended by a vote of the people if the amendment would result in the special tax being imposed, extended, or increased in a manner not authorized by this Ordinance as originally approved by the voters, or if the amendment would substantially alter the purpose of the special tax. The District Board of Directors may enact other amendments, including but not limited to amendments necessary to implement or administer the special tax.

SECTION 13. EXPIRATION OF TAX

The authority to levy the special tax shall remain in effect unless a later ordinance is adopted and approved by the voters that either repeals the special tax or establishes a date that the authority to levy the special tax shall terminate.

SECTION 14. ADJUSTMENT OF APPROPRIATIONS LIMIT

Pursuant to California Constitution Article XIIIB, the appropriation limit for Rolling Hills Community Service District is hereby increased by the aggregate sum authorized to be levied by this special tax for fiscal year 2027-28 and each year thereafter.

SECTION 15. ORDINANCE PUBLICATION

A. A summary of this Ordinance shall be published and a certified copy of the full text of this Ordinance shall be posted in the office of the Rolling Hills Community Service District Clerk at least five (5) days prior to the Board of Directors meeting at which it is adopted.

B. A summary of this Ordinance shall be published within fifteen (15) days after the adoption, together with the names of the Board of Directors voting for or against same, in the Mountain Democrat, a newspaper of general circulation in the County of El Dorado, State of California.

SECTION 16. COMPLIANCE WITH THE CALIFORNIA ENVIRONMENTAL QUALITY ACT

This Ordinance is exempt from the California Environmental Quality Act (Public Resources Code §§ 21000 et seq., "CEQA," and 14 Cal. Code Reg. §§ 15000 et seq., "CEQA Guidelines"). The special tax authorized by this Ordinance is a special tax that can only be used to fund the projects, facilities, and services described in the Ordinance but does not approve any of the described projects or services. As such, under CEQA Guidelines section 15378(b)(4), the special tax is not a project within the meaning of CEQA because it creates a government funding mechanism that does not involve any commitment to any specific project or service that may result in a potentially significant physical impact on the environment. If revenue from the tax were used for a purpose that would have such effect, the District would undertake the required CEQA review for that particular project or service at the earliest feasible time prior to approval consistent with CEQA Guidelines Sections 15004 and 15352. Therefore, pursuant to CEQA Guidelines Section 15060, review of the Ordinance under CEQA is not required. Prior to commencement of any project or service funded by the special tax, any necessary environmental review required by CEQA shall be completed.

SECTION 17. SEVERABILITY

If any provision of this Ordinance is held by any court or by any Federal or State agency of competent jurisdiction, to be invalid as conflicting with any Federal or State law, rule or regulation now or hereafter in effect, or is held by such court or agency to be modified in any way in order to conform to the requirements of any such law, rule or regulation, such provision shall be considered a separate, distinct, and independent part of this ordinance, and such holding shall not affect the validity and enforceability of all other provisions hereof. In the event that such law, rule or regulation is subsequently repealed, rescinded, amended or otherwise changed, so that the provision thereof which had previously been held invalid or modified is no longer in conflict with such law, rule or regulation, said provision shall thereupon return to full force and effect and shall thereafter be binding. If any section, subsection, phrase, clause, sentence, or word in this Ordinance shall for any reason be held invalid or unconstitutional by a court of competent jurisdiction, it shall not nullify the remainder of this Ordinance but shall be confined to the article, section, subsection, subdivision, clause, sentence or word so held invalid or unconstitutional.

SECTION 18. DATE OF ADOPTION AND EFFECTIVE DATE

This Ordinance shall be considered adopted on the date of the declaration of the vote at the November 3, 2026 election and shall become effective 10 days thereafter.

"Shall the measure authorizing the Rolling Hills Community Services District to levy a special tax in the amount of $250 per parcel annually, subject to an annual inflation adjustment not to exceed 3%, on all parcels within the District, except the Sierramonte subdivision, generating $87,250 annually, until ended by voters, and increasing the District's appropriations limit, to maintain District infrastructure and services, including fire mitigation, roads, drainage, lighting, landscaping, and parks, be approved?"

ARGUMENT IN FAVOR OF MEASURE N

A "YES" vote on Measure N will protect the viability of the Rolling Hills Community Services District by providing additional necessary funding to help maintain and improve the community infrastructure.

The current assessment of $200 per parcel, per year, goes to maintain the roads, culverts, street lighting, parks, and open spaces, and has not been increased since 1987. This amount is inadequate, and does not keep pace with the rising costs of repair and inflation.

In addition to funding routine maintenance and long- term road repair, this additional revenue will allow the District to address the aging infrastructure that has needed attention for many years. This also allows the District to be financially prepared for the irregular expenditures scattered through future years when additional items eventually require replacement.

Some examples of areas that will benefit from the additional revenue are; deferred District replacement of approximately 115 directional/street signs, Stonebriar and Berkshire Park furnishings replacement, Stonebriar Park play area replacement, District Open space maintenance, Irrigation systems repair/replacement, District-wide drainage inspection. By investing in ongoing preventative maintenance today, the District will reduce the likelihood of more costly repairs in the future.

Please support your District and community by voting YES on Measure N.

William Grava, RHCSD President
Elizabeth Kmiec, Director
Mark Magee, General Manager RHCSD
Rusty Everett, Resident
Ed McGowan, Resident

****NO ARGUMENTS AGAINST THIS MEASURE WERE SUBMITTED****

IMPARTIAL ANALYSIS OF MEASURE N

Measure N (the "Measure"), if approved by two-thirds of the voters voting thereon, would authorize the levy of a special parcel tax at the rate of $250 per parcel per year within Zone No. 1 of the Rolling Hills Community Services District (the "District"). This Measure was placed on the ballot by the Board of Directors of the District pursuant to Resolution No. 26-04, which was passed at an official meeting of the Board of Directors on June 23, 2026.

The proposed special parcel tax would be levied only within Zone No. 1, which includes all territory within the jurisdictional boundaries of the District except for the area commonly referred to as the Sierramonte subdivision. If approved, the special parcel tax authorized by this Measure will be used solely for the purpose of maintaining and improving existing District facilities and services provided within Zone No. 1, including but not limited to fire mitigation, roads, drainage, lighting, landscaping, and parks. The amount of the special parcel tax may be adjusted annually in accordance with the Consumer Price Index for All Urban Consumers, not to exceed 3% annually. The special parcel tax authorized by this Measure would remain in effect until modified or repealed by the voters. The special parcel tax authorized by this Measure is expected to generate revenue of approximately $87,250 per year. This Measure will have no effect on the existing $200 annual assessment within the District.

State law requires the proceeds from the special tax be applied only to the identified purposes and that an annual report be made indicating the amount of funds collected and expended and the status of any project required or authorized to be funded by the proceeds.

The special tax authorized by this Measure will be listed as a separate item on the county property tax bill for each affected parcel of land and will be collected in the same manner as the general property tax. All laws applicable to the levy, collection, and enforcement of county property taxes, including the provisions for penalties and the procedures for sale of the property in case of delinquency, shall also apply to the special tax.

A "YES" vote is a vote to authorize the levy of the annual special tax in an amount of $250 per parcel within Zone No. 1, as provided in the Measure.

A "NO" vote is a vote against the levy of the annual special parcel tax.

David A. Livingston
El Dorado County
County Counsel